

generated by stock and bond mutual funds combined over the past 18 months, not to mention the losses that are coming. Moreover, most investors are poised to fare far worse than the blue chip averages. Read the article that follows.

Chicago Tribune, Sunday, September 11, 1994

Pension secret: Add risk to mix

Little payoff from being too cautious

A little more than a year ago, workers at Tellabs Operations Inc. in suburban Lisle invested about half their retirement savings in conservative insurance contracts that guaranteed a modest but steady rate of return.

Not a bad idea, you think. Safe, secure investments should be the hallmark for retirement savings.

Today, however, the employees are investing more than half their savings in stock funds that range from value-oriented to aggressive growth to international. They are putting less than 15 percent of their retirement funds in relatively conservative investments, such as money-market funds or guaranteed insurance contracts.

Tellabs' managers are delighted that their employees, a

relatively young crowd with an average age of 34, are taking on far more market risk with their retirement nest eggs.

The company made projections and found that while employees were favoring investments with 3 to 6 percent annual returns, they need to be earning 8 to 10 percent on their retirement funds to stay ahead of inflation in the long term and to furnish a comfortable retirement.

But most important was an education campaign that Tellabs sponsored to launch its additions, which included a mandatory two-hour investment seminar held on company time to explain investing principles to employees and highlight the perils of investing poorly, said...

Even the supposedly conservative guaranteed contracts mentioned in the article have been so difficult to cover that they recently sent a major issuer, Confederation Life, the fifth largest insurance company in Canada, into government receivership. These *professional* investors thought it would be safe to guarantee interest at X% and put all the money into junk bonds and mortgage debt at X+1%. They did not consider the possibility that junk bonds might collapse in value and mortgage debt might turn illiquid, but that is what happened (see Chapter 15). The creators of these products had no backup plan for earning enough interest to honor their contracts, as there was none available. *If those pros cannot figure out how to*